



L&T Finance's Evolution from Lender to AI Powerhouse

In a financial landscape increasingly crowded by AI-first claims, Mr. Sudipta Roy, MD & CEO of L&T Finance Ltd. (LTF), stands out for his pragmatism. For Mr. Roy, AI is not a plug-and-play solution but a core competency that requires a heavy engineering wrapper, a philosophy that has led LTF to build its tech centres in Mumbai and Bengaluru to develop proprietary tools in-house. In an interview, Mr. Roy elaborates on LTF's digital evolution, offering detailed perspective on the AI-centric roadmap.



Mr. Sudipta Roy, Managing Director & CEO, L&T Finance Ltd.

Many CEOs are looking for 'off-the-shelf' AI solutions. Why did you insist on building your tech stack internally, and how has this 'engineering-first' approach saved LTF from the common pitfalls of AI adoption?

A 2025 study by Massachusetts Institute of Technology found that nearly 95% of AI projects fail to deliver Return on Investment. The real problem isn't technology but misalignment with business workflows and strategy—something we recognised as early as 2024. Our view is that AI solutions for India must be built around local ground realities, not simply adapted from models trained on first-world problems.

Therefore, building our tech stack internally through an 'engineering-first' approach has been a strategic cornerstone for LTF. In-house engineering allows us to iterate rapidly and deploy products faster than relying on external vendors. We have developed a self-learning credit engine that integrates distinct data sources—such as bureau data, account aggregators, and alternate signals—tailored precisely to our specific underwriting needs. Our transition to Gen 3 Kubernetes-based architecture and a microservices approach ensures we have a scalable and resilient platform that we fully own and understand.

'Project Cyclops' has reportedly brought Two-Wheeler Finance bounce rates down quite substantially. Is this improvement primarily due to better 'Prime' customer selection, or is the AI identifying risk factors in the 'New-